

Foundries

1Q26 wrap: Leading edge tightness deepens; Mature recovery broadening but uneven

- Leading edge capacity shortage intensifying into 2027; mature foundries seeing broader but selective pricing traction:** TSMC delivered another strong quarter with 1Q26 revenue of ~\$36bn (+6% QoQ), with N3/N5 nodes running at ~100%+ UTR and blended ASP up 11% YoY. Management guided “above” 30% YoY USD revenue growth for 2026 (versus previous guidance of “close to” 30%), and we believe this will be revised upward to 35%+ on the July earnings call as AI accelerator, networking, and CPU demand continues to grow. At mature foundries, the pricing narrative is broadening – SMIC guided 2Q revenue up 14-16% QoQ on selective price hikes in BCD, analog, power management and storage; UMC confirmed issuing price hike letters to customers for 2H26; and VIS guided 2Q ASP to be up 2-4% QoQ. For PSMC, we model a ~45% QoQ memory ASP hike in 2Q26, reflecting the sharp DRAM spot price surge in 4Q25/1Q26 (given the ~5-month cycle time lag), driving GMs back above 30% in 2Q26 and approaching 40% in 2H26. Overall, we expect TSMC's leading-edge supply-demand to remain tight through 2026 and into 1H27 and mature foundry margins to improve on selective price hikes and UTR gains.
- Leading-edge UTR running above 100%, capacity tightness set to persist well into 2027:** TSMC N3/N5 continued running at ~100%+ UTR in 1Q26, and management guided for a moderate increase for the company's overall UTR through 2026. Our checks indicate N3 UTR at 110-120%, with customers continuing to request hot and super-hot runs. We expect leading-edge tightness to persist well into 2027 or early 2028, driven by AI accelerator shipments growing 60%+/40%+ YoY in 2026/27, rising demand for AI interconnect and server CPUs, and continued Apple iPhone and Mac strength. We expect TSMC to accelerate capacity expansion at N3 and N2 (JPMe 25% CAGR for N5 and below from 2025-28E), with N3 capacity reaching 213k/237k wfpw by YE27/ YE28 and N2 reaching ~150k wfpw by end-2028.
- Mature foundry UTR broadly stable at 80+%, with selective pockets of strength:** Company commentary across mature foundries points to a broadly flattish UTR outlook into 2Q26. UMC came in at ~79% in 1Q26 with guidance of low 80s in 2Q; VIS improved to ~80% in Q1, from the low 70s in 4Q25, and is guiding 85-90% in 2Q26 driven by continued PMIC demand strength and share gains within QCOM; PSMC's logic UTR remained low at ~70-75%, though memory lines ran at full capacity; China foundries (SMIC, Hua Hong) continue to run at 90%+, driven majorly by localization trends and AI peripherals demand. We expect mature logic UTR outside China to be at ~85% throughout the year, given weak consumer demand but selective strength in industrial and AI-adjacent applications. For China foundries, localization tailwinds persist, but PC/smartphone weakness and continued capacity expansion remain a risk for 2H26 pricing and UTR.

Technology and Telecoms

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See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

- **Mature foundry pricing broadening, but recovery remains selective and uneven:** Company commentary on pricing has turned more constructive across the board in 1Q26. SMIC reported ~2.5% QoQ ASP improvement in 1Q26, with management indicating price hikes (we believe 5-10%) negotiated in BCD, analog, power management, and storage – likely covering ~40-50% of revenue, in our view. UMC confirmed issuing price hike letters to customers for 2H26, with management expressing cautious optimism on customer reception. VIS guided a 2-4% QoQ ASP increase in 2Q26 due to both price hikes and mix improvement. We believe UMC's customer reception has been mixed, and expect a blended 5-7% price increase to be settled in 2H26 – the first ASP growth since 2022. At leading-edge nodes, TSMC implemented 6-10% like-for-like price hikes in 1Q26, and we expect another round of price increase discussions to kick off in 2Q26 for 2027 pricing (JPMe additional 5-10% hike for N3 and below), which could serve as a further catalyst for the stock.
- **TSMC capex raised to \$52-56bn in 2026; peers remain cautious on spending:** TSMC guided 2026 capex at the high end of previous guidance of \$52-56bn. Mature foundries are guiding mixed YoY capex changes – UMC flat YoY, PSMC ~80% YoY, SMIC -2% YoY, Hua Hong slight decline YoY, VIS flat YoY – reflecting caution on mature-node expansion for logic foundry. We expect TSMC to outline a more robust 3-year capex plan of ~\$190-200bn for 2026-28E, nearly twice the \$101bn spent in 2023-25, to support the extraordinary demand for AI compute from its customers. We forecast total non-TSMC foundry capex at ~\$15bn in 2026E (+4% YoY), with ex-TSMC non-Chinese foundry capex up 19% YoY.
- **Gross margins — diverging trajectories across the foundry universe:** TSMC guided 2Q26 GMs of 65.5-67.5% (flat QoQ at the midpoint), driven by better HPC mix and continued cost improvement offset by dilution from overseas fabs. VIS guided 2Q26 GMs to the 31-33% range (+~2.7ppts QoQ at the midpoint), with management attributing the improvement to like-for-like price hikes offsetting rising costs (e.g. inflated material costs). UMC's GMs came in at ~29% in 1Q26, with management guiding a mild improvement in Q2 on rising UTR and mix improvement. PSMC's 1Q26 GM of 10.2% came in below our expectations, but management guided a sharp recovery in 2Q driven by memory pricing catch-up. We see the most compelling near-term GM trajectory at VIS (JPMe ~36% by 4Q26) and PSMC (approaching 40% in 2H26), while TSMC GMs should maintain in the mid-to-high-60% range (JPMe 65.8%/64.4% in 2026/27E) despite dilution from N2/overseas capacity ramp, given improving N3 profitability, slower depreciation growth versus revenue, and a potential additional price hike in leading edge in 2027. SMIC and UMC face milder GM recovery, in our view, with rising depreciation (~30% YoY for SMIC in 2026) and weak consumer demand limiting GMs to the low-20s and mid-30s range, respectively, still well below prior-cycle peaks.
- **Stock views:** We are **OW on TSMC** as leading-edge supply stays tight well into 2027/early 2028, given accelerating AI demand, continued N3/N2 and advanced back-end revenue growth, and long lead times for capacity build – with potential upside to 2026 revenue guidance. We [upgraded VIS to OW](#) on strong 8" GM traction from better power management demand and rising 8" UTR (close to 90% in 2H26), with VSMC already fully booked on NXP and CoWoS interposer orders from TSMC. We [upgraded SMIC to Neutral](#) as broader-than-expected price hikes support near-term upside, but GMs remain capped in the low-20s by rising depreciation and 2H26 consumer demand risk. We [upgraded UMC to Neutral](#) as near-term price hike commentary supports the stock, but high consumer/communications exposure and rising depreciation keep GMs at low-to-mid-30s, well below prior cycle peaks. We remain Neutral on PSMC as strong memory foundry GM improvement in 2Q-2H26 is largely priced in, with DRAM spot price momentum fading and new businesses taking time to ramp.

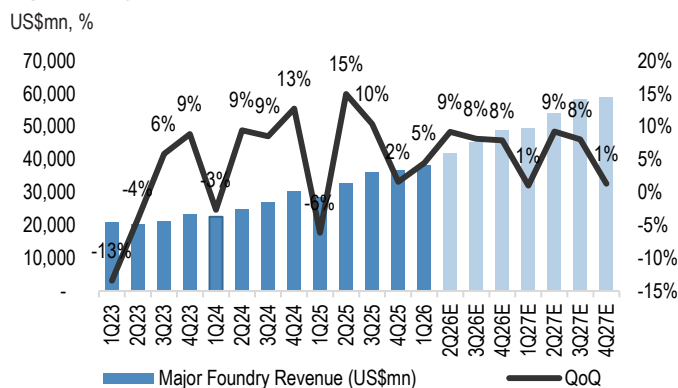
Table 1: Foundry UTR and Guidance

	1Q26 UTR	UTR Guidance
TSMC	100%+ for N3/N5	Moderate increase for overall UTR in 2026
UMC	79%	Low 80% in 2Q26
SMIC	93%	n.a.
VIS	80%	85-90% in 2Q26
Hua Hong	101%	n.a.
PSMC	88%	90-95% in 1H26

Source: Company reports.

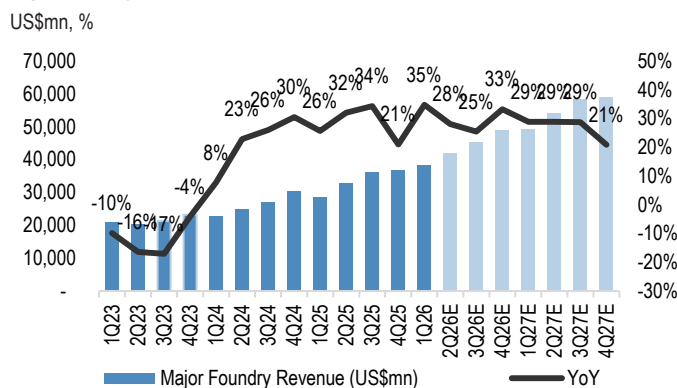
Key charts

Figure 1: Major Foundries' revenue and QoQ trend



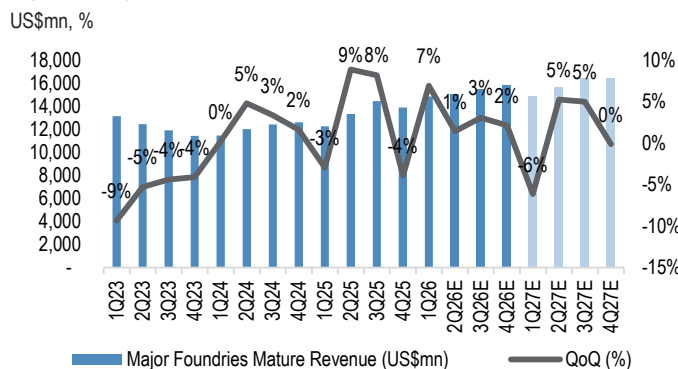
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects TSMC, UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 2: Major Foundries' revenue and YoY trend



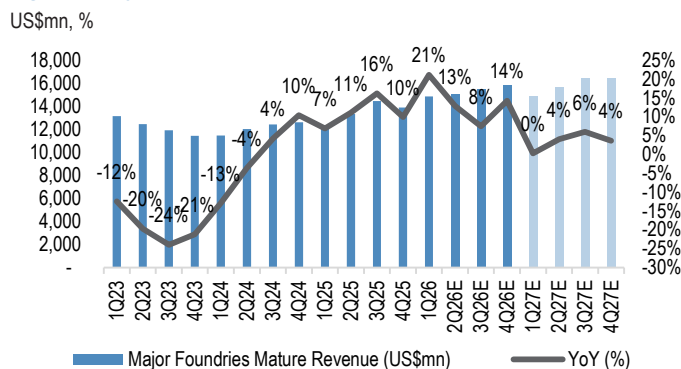
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects TSMC, UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 3: Major Foundries' mature revenue and QoQ trend



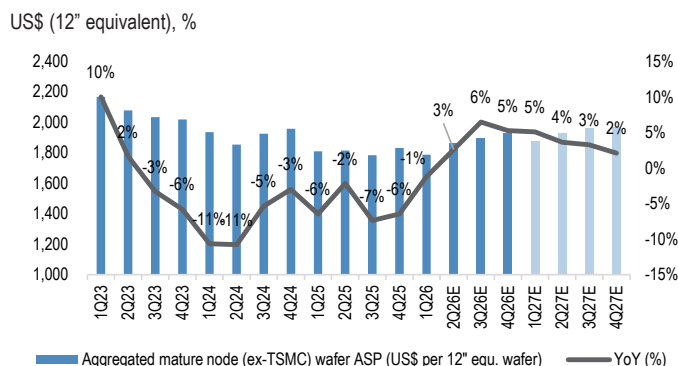
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects TSMC (12/16nm and above), UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 4: Major Foundries' mature revenue and YoY trend



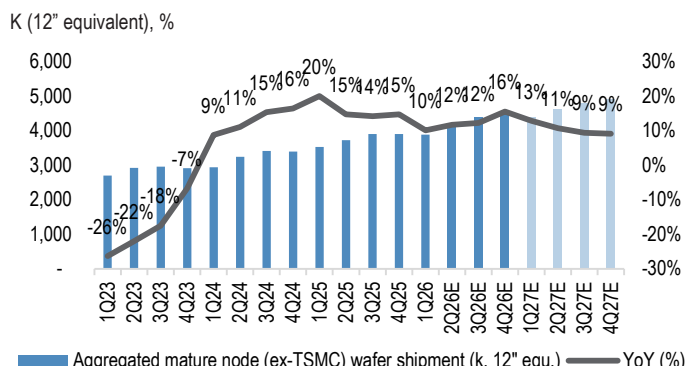
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects TSMC (12/16nm and above), UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 5: Blended mature Foundries' (ex-TSMC) wafer ASP and YoY trend



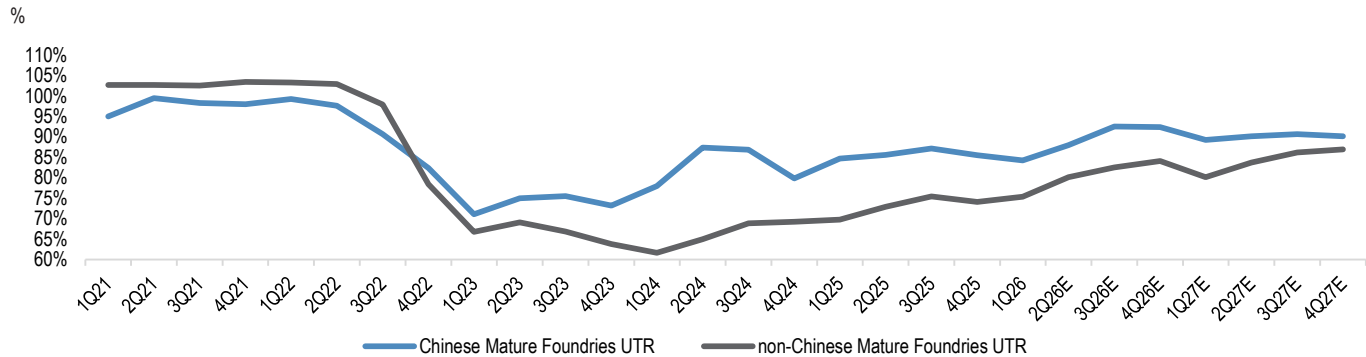
Source: Company data, J.P. Morgan estimates. Note: Data reflects UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 6: Blended mature Foundries' (ex-TSMC) wafer shipment YoY trend



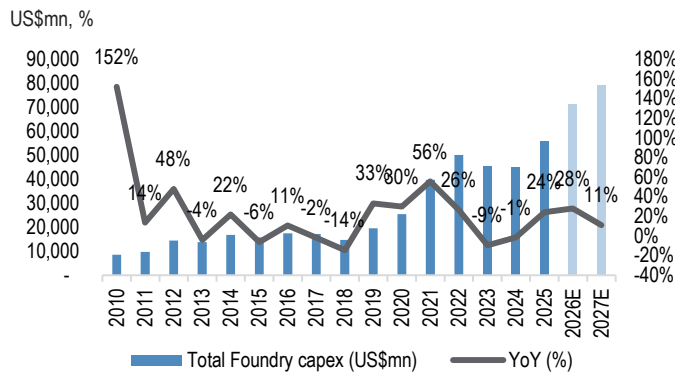
Source: Company data, J.P. Morgan estimates. Note: Data reflects UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 7: Chinese vs. non-Chinese Mature Foundries UTR trend



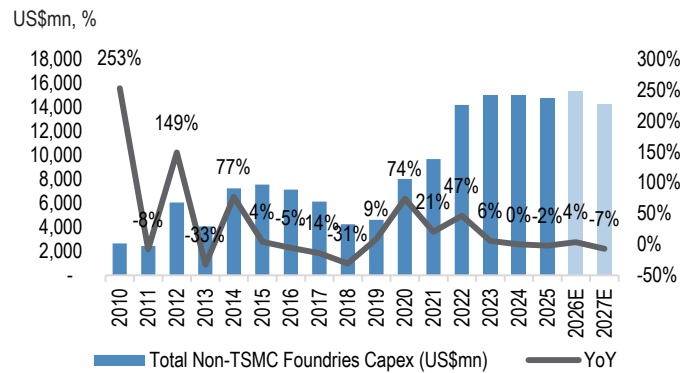
Source: Company data, J.P. Morgan estimates. Note: Data reflects UMC, VIS, PSMC, GFS as non-Chinese Foundries, SMIC and Hua Hong as Chinese Foundries.

Figure 8: Major Foundries' capex and YoY trend



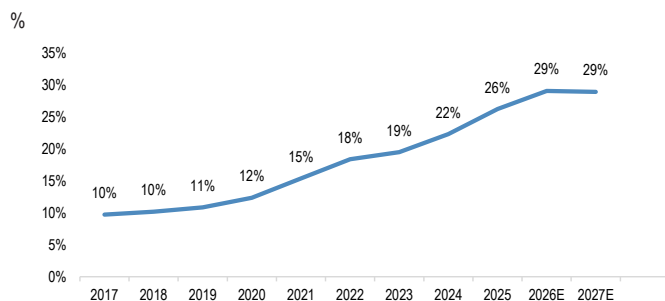
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects TSMC, UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 9: Major Foundries' capex (ex-TSMC) and YoY trend



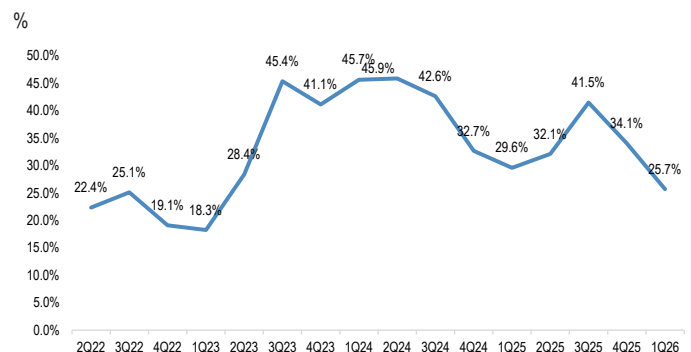
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Data reflects UMC, SMIC, VIS, GFS, PSMC and Hua Hong.

Figure 10: China Mature 12" as % of Total 12" Foundry capacity



Source: Company data, J.P. Morgan estimates.

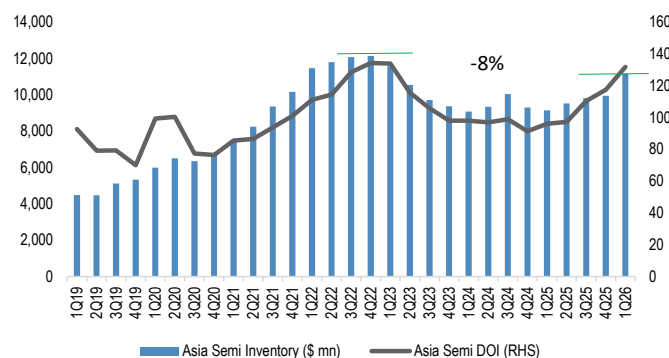
Figure 11: % of total revenue from China for Top 4 SPEs



Source: Company reports, Bloomberg Finance L.P., J.P. Morgan calculations. Note: SPEs considered are ASML, TEL (8035 JP), KLA, LAM.

Figure 12: Asian Semi inventory (absolute dollar terms) and DOI

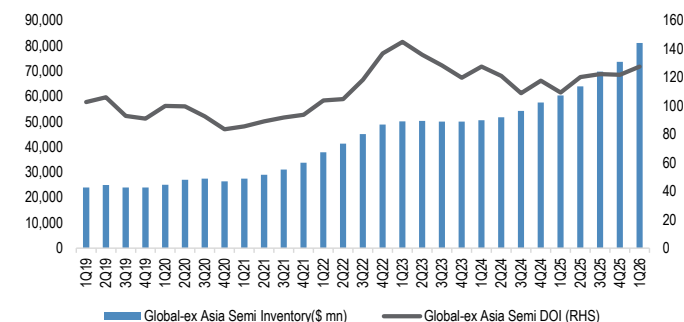
US\$mn



Source: Company reports. Note: Companies considered are Renesas, Rohm, Will Semi, Wingtech, Gigadevice, China Resource, Maxscend, NCE Power, SICC, StarPower, MediaTek, GUC, Faraday, Socionext, Nuvoton, Realtek, Novatek, Parade, Silicon Motion, Fitipower

Figure 13: Global ex- Asia Semi inventory (absolute dollar terms) and DOI

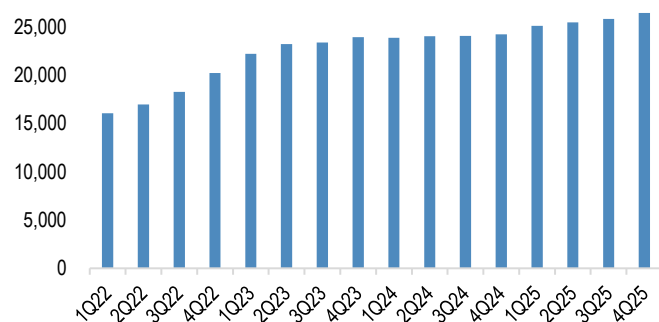
US\$mn



Source: Company reports. Note: Companies considered are Intel, NXP, Texas Instruments, Qorvo, Wolfspeed, Infineon, STMicro, Monolithic Power, Microchip, ON Semi, Melexis, SWKS, NVDA, AMD, LSCC, QCOM, Fingerprint Cards, Cirrus Logic, Silicon Labs, AVGO, MRVL

Figure 14: Inventory levels (absolute dollar terms) at Auto/Industrial semi players

US\$mn



Source: Company reports. Note: Companies considered are NXP, Infineon, Renesas, Texas Instruments, STMicro, ON Semi, Power Integration, Monolithic Power, Wolfspeed, Coherent, Gigadevice, SICC, Rohm, Microchip, Melexis, Elmos

Companies Discussed in This Report (all prices in this report as of market close on 10 June 2026, unless otherwise indicated)
Powerchip Semiconductor Manufacturing Corp.(6770.TWO/NT\$64.40/N), SMIC (0981)(0981.HK/HK\$72.35/N),
TSMC(2330.TW/NT\$2,255.00/OW), UMC(2303.TW/NT\$118.50/N), Vanguard International Semiconductor Corp.(5347.TWO/
NT\$152.50/OW)

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Powerchip Semiconductor Manufacturing Corp. (6770.TWO, 6770 TT)

Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
19-Jul-23	N	30.50	28
05-Jan-24	OW	28.25	38
17-Jul-24	N	25.65	28
25-Feb-25	N	18.70	16
22-Oct-25	N	30.70	27
19-Jan-26	N	56.40	48
06-Feb-26	N	62.80	55
22-Apr-26	N	54.00	50

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 15, 2021. All share prices are as of market close on the previous business day.

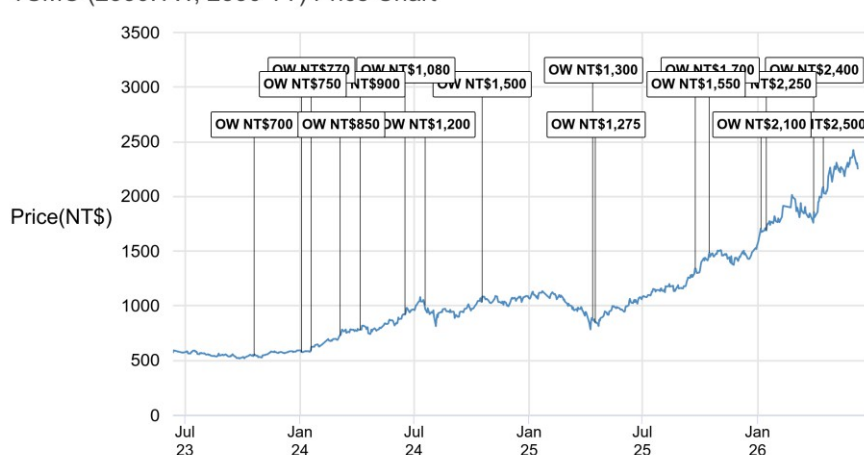
SMIC (0981) (0981.HK, 981 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
11-Aug-23	N	18.48	19
07-Feb-24	N	15.34	16.5
11-May-24	N	16.26	18
09-Aug-24	N	15.80	19.5
08-Nov-24	N	28.25	24
13-Feb-25	UW	47.95	32
11-Aug-25	UW	48.66	36
17-Nov-25	UW	73.50	57
17-May-26	N	71.15	67

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 24, 2010. All share prices are as of market close on the previous business day.

TSMC (2330.TW, 2330 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
20-Oct-23	OW	546.0	700
04-Jan-24	OW	578.0	750
19-Jan-24	OW	588.0	770
06-Mar-24	OW	730.0	850
07-Apr-24	OW	780.0	900
17-Jun-24	OW	922.0	1,080
19-Jul-24	OW	1005.0	1,200
18-Oct-24	OW	1035.0	1,500
13-Apr-25	OW	889.0	1,300
18-Apr-25	OW	847.0	1,275
24-Sep-25	OW	1340.0	1,550
17-Oct-25	OW	1485.0	1,700
07-Jan-26	OW	1705.0	2,100
16-Jan-26	OW	1690.0	2,250
02-Apr-26	OW	1855.0	2,400
17-Apr-26	OW	2085.0	2,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 28, 2002. All share prices are as of market close on the previous business day.

UMC (2303.TW, 2303 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
21-Jul-23	N	46.10	42
04-Jan-24	OW	50.60	60
31-Jul-24	OW	50.00	62
30-Oct-24	N	48.40	44
22-Jan-25	N	42.95	37
24-Apr-25	N	45.10	39
30-Oct-25	N	45.60	41
29-Jan-26	UW	75.90	50
30-Apr-26	N	74.50	70

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 29, 2002. All share prices are as of market close on the previous business day.

Vanguard International Semiconductor Corp. (5347.TWO, 5347 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
22-Jul-23	N	78.00	85
08-Nov-23	N	72.70	64
04-Jan-24	N	78.30	81
03-Feb-24	N	72.60	79
01-May-24	N	86.00	88
31-Jul-24	N	120.00	100
06-Nov-24	UW	93.60	72
26-Feb-25	UW	102.00	80
05-Nov-25	N	98.70	90
04-Feb-26	N	135.50	120
06-May-26	OW	154.00	190

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 05, 2006. All share prices are as of market close on the previous business day.

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